

Kotak Mahindra Bank Ltd

KOTAKBANK | Financials

ROE	ROCE	OPM
14.0%	7.4%	83.7%
D/E Ratio	Interest Coverage	EPS
4.00	1.2x	₹92.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	₹56,237	₹18,213
2023-03	₹42,151	₹14,925
2022-03	₹33,741	₹12,089
2021-03	₹32,820	₹9,990
2020-03	₹33,474	₹8,593

Cash Flow Intelligence

Metric	Value
CFO Quality	High Quality
CapEx Intensity	Capital Intensive
Capital Allocation	Debt-Funded Growth
FCF 5Y CAGR	-33.0%
Distress Flag	No

✓ Investment Strengths (Pros)

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Profits growing faster than revenue shows improving operating leverage and scale benefits

■ Investment Concerns (Cons)

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility